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REGULATION

US Senate kills ban on state AI regulation from Trump budget bill

By Jacob Robbins

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A measure that would have levied serious penalties on US states that regulated AI is dead—a setback for VCs and CEOs at some of the biggest AI startups who lobbied heavily for the moratorium.

US senators voted 99-1 early Tuesday morning to strike the provision from President Donald Trump's joint domestic budget package, dubbed "The Big Beautiful Bill."

The provision, written by Republican Sen. Ted Cruz of Texas, would have withheld federal broadband funding from states that regulate AI in any fashion in the next 10 years.

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Sen. Thom Tillis, a Republican from North Carolina, was the lone dissenter.

The proposed ban pitted some of the biggest names in VC and AI against each other, creating odd coalitions of CEOs, safety advocates and right-wing politicians in support and opposition of the provision.

Notably, CEOs of two of the biggest AI startups—[Anthropic](#) and [OpenAI](#)—were on opposing sides of the debate.

OpenAI CEO Sam Altman supported the moratorium. He argued in front of the US Senate in May that having a regulatory patchwork with different states passing various laws would “slow us down at a time where I don’t think it’s in anyone’s interest.”

Anthropic, one of OpenAI’s biggest competitors, had opposed the moratorium. CEO and co-founder Dario Amodei argued in a New York Times op-ed that the pause would be “far too blunt an instrument.”

The ban’s demise is the latest win for the AI safety movement after [lawmakers in New York passed a bill](#) that would require model makers to publish safety protocols and risk evaluations. That bill was sent to the New York governor’s desk, but it may still be [vetoed like its West Coast predecessor, SB 1047](#).

Featured image by J. David Ake/Getty Images

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About [Jacob Robbins](#)

Reporter Jacob Robbins covers artificial intelligence and the venture capital ecosystem for PitchBook. Based in Seattle, Jacob is originally from Massachusetts and holds dual degrees in political science and cinema studies from the American University. His work has previously appeared in Air Mail and Business Insider.

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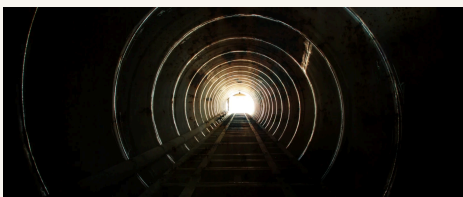
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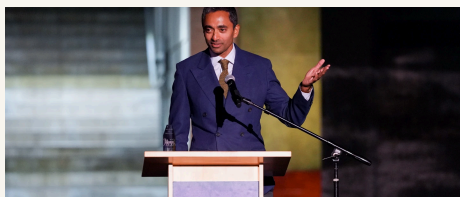


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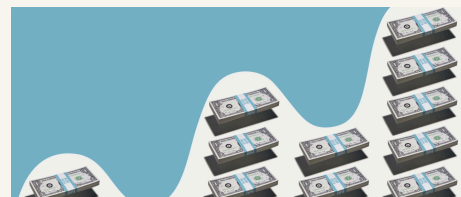


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